04 Accounting procedures

Topical Question Bank | Paper 2 | 2021-2025

Questions only - original examination pages retained

Contents

4.1 Capital and revenue expenditure and receipts

Included questions	1

5 P Limited is a retail company with a financial year end of 30 June. The accounts department of the company is looking into some recent capital and revenue expenditure and receipts.

REQUIRED

(a) State what is meant by the following terms:

(i) capital expenditure

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(ii) revenue expenditure

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(iii) capital receipts

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(iv) revenue receipts.

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(b) Complete the table by indicating with a tick (✓) how the following items of income and expenditure will be classified.

item	capital expenditure	revenue expenditure	capital receipt	revenue receipt
delivery charges for new office equipment				
repairs to the roof of an existing building				
painting of a new extension to the factory				
proceeds from the sale of a motor vehicle				

[4]

P Limited has provided an extract from their statement of changes in equity for the year ended 30 June 2024.

P Limited
Statement of Changes in Equity (extract) for the year ended 30 June 2024

	Ordinary share capital $	General reserve $	Retained earnings $	Total $
Balance at 30 June 2024	230 000	16 300	46 220	292 520

P Limited's profit after interest for the year ended 30 June 2025 was $37 350.

After preparing the trial balance at 30 June 2025, P Limited's directors decided to transfer $8000 to the general reserve and to pay an interim dividend to their ordinary shareholders of $36 400.

REQUIRED

(c) Prepare the retained earnings column **only** of the statement of changes in equity of P Limited for the year ended 30 June 2025.

P Limited
Statement of Changes in Equity (retained earnings)
for the year ended 30 June 2025

	Retained earnings $
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[3]

Additional information at 30 June 2025:

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Land and buildings	205 000
Equipment	59 600
Vehicles	83 000
Provision for depreciation – equipment	11 324
Provision for depreciation – vehicles	23 030
Trade payables	44 890
Trade receivables	57 040
Other payables	5 700
Provision for doubtful debts	2 282
Cash	2 100
Bank overdrawn	5 044
6% Debentures	32 000
Bank loan (5 years)	22 000
Inventory	33 000

REQUIRED

(d) Prepare the statement of financial position for P Limited at 30 June 2025.

P Limited
Statement of Financial Position at 30 June 2025

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SUBTOPIC: 4.1 Capital and revenue expenditure and receipts

	$	$	$

[9]

[Total: 20]

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4.2 Accounting for depreciation and disposal of non-c

Included questions	15

2 Zamir is in business providing legal services. Zamir provided the following balances from his books of account at 31 December 2020.

	$
Fee income	151 750
Rent and rates	26 000
Salaries	55 000
Stationery and advertising	6 450
Electricity	8 000
Bank charges	4 100
Office equipment – cost	60 000
Office equipment – provision for depreciation	22 500
Proceeds of disposal of office equipment	1 000
Bank overdraft	7 900
Trade receivables	15 600
Capital	57 000
Drawings	65 000

Additional information

1 The annual rent is $16 000. On 31 December 2020 rent was paid to cover the period from 1 January to 31 March 2021.
There was no accrual or prepayment of rent at 1 January 2020.

2 Rates of $6000 were paid during the year to 31 December 2020. This payment covered the period 1 January 2020 to 31 October 2020 only. From 1 November 2020 annual rates were $7560.

3 Depreciation is to be charged on office equipment at 15% per annum using the straight-line method. No depreciation is charged in the year of disposal.

4 In February 2020 office equipment was sold for $1000. This equipment had been purchased for $1800 on 1 January 2018. The sales proceeds have been debited to the bank account and credited to the proceeds of disposal of office equipment account. No other entries have been made in respect of the disposal.

5 One of Zamir's clients has become bankrupt. The client owed $1885. Zamir does not expect to recover this amount.

REQUIRED

(a) Prepare Zamir's income statement for the year ended 31 December 2020.

Zamir
Income Statement for the year ended 31 December 2020

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[10]

(b) Prepare the assets section of Zamir's statement of financial position at 31 December 2020.

Zamir
Statement of Financial Position (assets section) at 31 December 2020

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[3]

(c) Suggest **two** possible reasons why Zamir required a bank overdraft.

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[2]

Zamir employs Sharif, who is another lawyer. Sharif also keeps the books of account for the business. Zamir would like to ensure that Sharif does not leave to start work for a rival legal business.

REQUIRED

(d) Advise Zamir whether he should offer Sharif an increase in salary **or** invite him to become a partner in the business. Justify your answer with **two** advantages of **each** course of action.

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[Total: 20]

4 Neith is a trader. Her financial year ends on 31 March.
Neith prepared the following trial balance which contains errors.

Neith
Trial Balance at 31 March 2021

	Debit	Credit
	$	$
Fixtures and equipment at cost	300 000	
Provision for depreciation of fixtures and equipment	120 000	
Inventory		9 100
Trade receivables		16 100
Provision for doubtful debts	322	
Petty cash	100	
Bank overdraft	11 400	
Trade payables		3 200
Capital at 1 April 2020		160 000
Sales		107 498
Purchases	41 520	
Rent and rates	16 000	
Office expenses	9 000	
General expenses	8 150	
Suspense		210 594
	506 492	506 492

Additional information

1 The value of inventory on 31 March 2021 was included in the trial balance.
On 1 April 2020 the inventory was valued at $8800.

2 On 30 March 2021, a motor vehicle was sold at book value, $2750. The disposal was correctly recorded but no entry was made in the account of the purchaser. The purchaser was expected to pay the amount due on 30 April 2021.

REQUIRED

(a) Prepare the corrected trial balance at 31 March 2021.

Neith
Corrected Trial Balance at 31 March 2021

	Debit $	Credit $
Fixtures and equipment at cost	....	....
Provision for depreciation of fixtures and equipment	....	....
Inventory	....	....
Trade receivables	....	....
Provision for doubtful debts	....	....
Petty cash	....	....
Bank overdraft	....	....
Trade payables	....	....
Capital at 1 April 2020	....	....
Sales	....	....
Purchases	....	....
Rent and rates	....	....
Office expenses	....	....
General expenses	....	....
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[6]

2 Jas owns a printing business and has recently incurred various expenditures relating to her premises.

REQUIRED

(a) Complete the table by inserting a tick (✓) to show how **each** item of expenditure should be classified. The first one has been completed as an example.

	Capital expenditure	Revenue expenditure
Building new extension to warehouse	✓	
Rates on new extension		
Carriage costs for roof tiles for new extension		
Legal costs for new extension		
Repairs to office roof		

[4]

Jas's business is expanding rapidly and she needs more warehousing space.

Jas can rent an additional warehouse. The rent for the first six months would be $40 000.

Alternatively, Jas can purchase a warehouse for $900 000. She can obtain a long-term loan of $700 000.

REQUIRED

(b) Advise Jas whether she should rent or purchase a warehouse. Justify your answer.

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An extract from Jas's statement of financial position at 31 December 2019 showed the following:

	Cost	Accumulated depreciation	Net book value
	$	$	$
Fixtures	115 000	77 625	37 375

During the year ended 31 December 2020 the following transactions took place.

On 1 January 2020 fixtures, $30 000, were purchased by cheque.

On 30 June 2020 fixtures were sold for $6000, which was received by cheque. These fixtures had originally been purchased on 1 January 2018 for $20 000.

Jas depreciates fixtures on a straight-line basis. She assumes fixtures will have a useful life of four years, at which time the residual value will be 10% of original cost. Depreciation is charged for each part of the year for which the fixtures are owned.

REQUIRED

(c) Prepare the following accounts for the year ended 31 December 2020. Balance **each** account and bring down the balance on 1 January 2021.

Jas
Fixtures account

Date	Details	$	Date	Details	$
2020					
Jan 1	*Balance b/d*	*115 000*	....	....	....
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Provision for depreciation of fixtures account

Date	Details	$	Date	Details	$
			2020		
....	....	....	*Jan 1*	*Balance b/d*	77 625
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[8]

(d) Prepare the fixtures disposal account for the year ended 31 December 2020.

Jas
Fixtures disposal account

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[3]

Workings:

[Total: 20]

5 Simon has a business selling office stationery. On 1 January 2019 he owned two delivery vehicles which had been purchased on 1 January 2018.

Delivery vehicle A had cost $30 000 and delivery vehicle B had cost $25 000.

Simon uses the straight-line method for depreciating the delivery vehicles. A rate of 20% per annum on cost is used, with the rate being applied for each part of the year for which the delivery vehicles are owned.

Due to a decline in business, delivery vehicle B was sold on 31 March 2020 and a cheque for $10 350 was received. Delivery vehicle A was still in use at the end of 2020.

REQUIRED

(a) Complete the following accounts for **each** of the years ended 31 December 2019 and 2020. Balance the accounts at the end of **each** year where appropriate.

Simon
Delivery vehicles account

Date	Details	$	Date	Details	$
2019					
Jan 1	*Balance b/d*	*55 000*	....	....	....
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17

Provision for depreciation of delivery vehicles account

Date	Details	$	Date	Details	$
....	....	....	*2019* *Jan 1*	*Balance b/d*	*11 000*
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Delivery vehicles disposal account

Date	Details	$	Date	Details	$
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[15]

Simon's sister Yasmin is also in business and depreciates her delivery vehicles by the reducing balance method.

Simon is considering whether to apply the reducing balance method of depreciation to his delivery vehicles.

REQUIRED

(b) Advise Simon whether he should apply the reducing balance method of depreciation. Justify your answer.

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[Total: 20]

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4 Demis is a trader. His financial year ends on 31 December.
He prepared the following trial balance which contains errors.

Demis
Trial balance at 31 December 2021

	Debit	Credit
	$	$
Sales		90 052
Purchases		52 420
Purchases	52 420	
Rates and insurance	11 500	
General expenses	1 092	
Property	92 500	
Fixtures at cost	34 000	
Provision for depreciation of fixtures		21 760
Trade receivables	7 410	
Trade payables	4 665	
Inventory		9 600
Cash at bank	8 095	
Capital at 1 January 2021		109 940
Drawings	11 320	
Suspense	60 770	
	283 772	283 772

Additional information

1. There was $80 in the petty cash box at 31 December 2021.

2. The value of inventory on 31 December 2021 was included in the trial balance.
   The inventory valuation had increased by 20% since 31 December 2020.

REQUIRED

(a) Prepare a corrected trial balance at 31 December 2021.

Demis
Corrected Trial Balance at 31 December 2021

	Debit $	Credit $
Sales	....	....
Purchases	....	....
Rates and insurance	....	....
General expenses	....	....
Property	....	....
Fixtures at cost	....	....
Provision for depreciation of fixtures	....	....
Trade receivables	....	....
Trade payables	....	....
Inventory	....	....
Cash at bank	....	....
Capital at 1 January 2021	....	....
Drawings	....	....
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[6]

2 Fatima is a sole trader. She prepares her financial statements to the end of March each year.

At 31 March 2022, Fatima's ledger account balances included the following.

	$
Revenue	79 400
Sales returns	3 970
Purchases	36 500
Rent and rates	9 000
Wages	10 100
General expenses	1 287
Insurance	1 800
Discount received	1 095
Inventory at 1 April 2021	3 000
Fixtures and equipment at cost	80 000
Fixtures and equipment – provision for depreciation	39 040
Trade receivables	6 400
Trade payables	4 995
Provision for doubtful debts	156
Cash drawings	8 580
Capital at 1 April 2021	59 000

The following information is also available.

1 Inventory at 31 March 2022 was $3120.

2 Fatima took goods for her own use from the business during the year ended 31 March 2022. These goods cost $1300.

3 Depreciation on fixtures and equipment is to be charged at 20% per annum using the reducing balance method.

4 Accrued wages at 31 March 2022 were $800.

5 Rent includes a payment of $1500 for the 3 months from 1 March 2022 to 31 May 2022.

6 An irrecoverable trade receivable of $200 is to be written off.

7 The provision for doubtful debts is to be set at 3% of trade receivables.

REQUIRED

(a) Prepare Fatima's income statement for the year ended 31 March 2022.

Fatima
Income Statement for the year ended 31 March 2022

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[11]

(b) Prepare Fatima's capital account for the year ended 31 March 2022. Balance the account and bring down the balance on 1 April 2022.

Fatima
Capital account

Date	Details	$	Date	Details	$
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[4]

Fatima would like to expand the business. She thinks that additional finance of $20 000 would be required for the equipment which she would need. Fatima's bank have offered to lend her $20 000, to be repaid after four years at interest of 6% per annum.

REQUIRED

(c) Advise Fatima whether or not to agree to the bank loan. Justify your answer.

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[Total: 20]

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4 Nala is a trader who buys and sells stationery.

She provided the following information about her inventory at 28 February 2022.

Item	Number of units	Cost per unit $	Carriage inwards per unit $	Selling expenses per unit $	Selling price per unit $
Packs of paper	240	4.50	–	–	8.00
Packs of envelopes	225	5.50	1.00	1.50	10.00
Notepads	150	4.00	2.00	–	5.00
Boxes of pencils	96	3.50	–	–	6.00

REQUIRED

(a) (i) Calculate the value of Nala's inventory at 28 February 2022.

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(ii) State the accounting principle used to value inventory.

.... [1]

(b) (i) Complete the table by placing a tick (✓) to show how Nala should treat each item of her expenditure.

	Capital expenditure	Revenue expenditure
Computer printer paper		
Computer equipment		
Installation of computer equipment		
Motor vehicle		
Insurance of motor vehicle		
Delivery of motor vehicle		

[4]

(b) (ii) Explain how the materiality principle is applied to the treatment of non-current assets.

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.... [2]

Nala has treated the receipt of a bank loan as a revenue receipt.

REQUIRED

(c) Complete the table by placing a tick (✓) to show the effect of the error on capital and on liabilities.

	overstated	understated
Effect on capital		
Effect on liabilities		

[2]

Nala has charged depreciation on her shop fittings at 25% per annum using the reducing balance method. This year she is considering changing this to 10% per annum using the straight-line method, as this would improve her profit for the year.

REQUIRED

(d) Advise Nala whether or not she should change her depreciation method. Justify your answer.

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[Total: 20]

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1 Anika owns property which she rents out to university students. She has made a consistent profit for each year she has been in business. Her trial balance at 31 August 2022 was as follows.

	Debit $	Credit $
Capital		400 000
Rent receivable		162 000
General expenses	26 500	
Bank	39 400	
Rates	38 200	
Insurance	12 400	
Repairs	32 000	
Drawings	18 500	
Non-current assets at cost		
Premises	418 000	
Fittings	90 000	
Provision for depreciation of non-current assets		
Premises		42 000
Fittings		71 000
	675 000	675 000

Additional information

1 At 31 August 2022, rent received of $8100 has been paid in advance.

2 At 31 August 2022, general expenses of $1300 have been paid in advance and rates of $3400 were owing.

3 The insurance includes $1800 paid for the 15 month period ending 30 November 2022.

4 Expenditure of $9000 for new fittings has been recorded in repairs.

5 Depreciation is to be provided as follows:

Premises	by equal instalments on cost each year over a 50 year period
Fittings	20% per annum by the reducing balance method

A full year's depreciation is charged on fittings during the year of purchase.

REQUIRED

(a) Prepare the income statement of Anika for the year ended 31 August 2022.

Anika
Income Statement for the year ended 31 August 2022

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Workings:

[9]

(b) Prepare the capital account for the year ended 31 August 2022 showing the balance brought down at 1 September 2022.

Anika
Capital account

Date	Details	$	Date	Details	$
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[3]

Anika plans to buy more property to rent out. She will need additional capital for this. She has savings earning 3% per annum which she could use for the additional capital. Alternatively, she could invite Janos, a builder, to provide the capital and join her to form a partnership.

REQUIRED

(c) Advise Anika on her plans and whether she should provide her own additional capital or form a partnership with Janos. Justify your answer.

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(d) Explain to Anika the difference between capital expenditure and revenue expenditure. Why is this difference between the two important when preparing the financial statements?

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[Total: 20]

1 BC a sole trader prepared the following trial balance from his accounts on 31 August 2022.

	Dr $	Cr $
Purchases	120 000	
Revenue		231 500
Sales returns	3 600	
Inventory 1 September 2021	11 100	
Capital		111 900
Bank		4 100
Non-current assets at cost		
Premises	98 000	
Machinery	52 000	
Provision for depreciation of non-current assets		
Machinery		28 400
Commission receivable		2 200
Trade receivables	19 200	
Trade payables		7 300
Discount allowed	600	
Discount received		1 400
Insurance	9 600	
Repairs	12 400	
Salaries	53 900	
Rates	6 000	
Carriage inwards	400	
	386 800	386 800

Additional information

1 The closing inventory at 31 August 2022 was valued at $12 000.

2 Commission received of $800 was owing at 31 August 2022.

3 The balance shown for salaries covers the 11 months to 31 July 2022. Salaries for August 2022 are due and unpaid. There have been no salary increases over the previous 12 months and an equal amount is paid each month.

4 At 31 August 2022 rates were prepaid by $300.

5 The insurance included $700 covering a private insurance premium for BC.

6 The repairs included $4000 that related to a new attachment for machinery.

7 Machinery is to be depreciated at the rate of 20% per annum by the reducing balance method. A full year's depreciation is charged regardless of the date of any purchases. There were no disposals during the year. Premises are not depreciated.

REQUIRED

(a) Prepare the income statement of BC for the year ended 31 August 2022

BC
Income Statement for the year ended 31 August 2022

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[12]

(b) Calculate the working capital at 31 August 2022.

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BC has been making future plans for the business and he needs to purchase $6000 of machinery immediately. There are two options to finance the purchase.

Option 1 On credit with the full amount of $6000 payable in 60 days

Option 2 Obtain a $6000 8% loan repayable in 5 years

REQUIRED

(c) Advise BC on which option he should use. Justify your answer.

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[Total: 20]

2 Stalla is a sole trader who sells on credit. She maintains a provision for doubtful debts at 4% of trade receivables.

Stalla's trade receivables were:

	$
At 31 December 2021	75000
At 31 December 2022	77000

REQUIRED

(a) **(i)** Prepare Stalla's provision for doubtful debts account for the year ended 31 December 2022. Balance the account at 31 December 2022 and bring down the balance at 1 January 2023.

Stalla
Provision for doubtful debts account

Date	Details	$	Date	Details	$
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[3]

(ii) State **two** reasons why Stalla maintains a provision for doubtful debts.

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2 ....

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[2]

Stalla charges depreciation at 25% per annum, using the reducing balance method. She charges a full year's depreciation in the year a vehicle is purchased and none in the year it is sold.

On 31 December 2022, Stalla sold a vehicle for $9500. The vehicle had cost $16000 on 1 September 2020.

REQUIRED

(b) Calculate the gain or loss on disposal of the vehicle.

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.... [4]

The balances on Stalla's ledger accounts at 1 January 2022 included the following.

	$
Motor vehicles	48000
Provision for depreciation on motor vehicles	21000

(c) **(i)** Prepare Stalla's motor vehicles account for the year ended 31 December 2022. Balance the account at 31 December 2022 and bring down the balance at 1 January 2023.

Stalla
Motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[2]

(ii) Prepare Stalla's provision for depreciation on motor vehicles account for the year ended 31 December 2022. Balance the account at 31 December 2022 and bring down the balance at 1 January 2023.

Stalla
Provision for depreciation on motor vehicles account

Date	Details	$	Date	Details	$
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[5]

Stalla had an extension to her retail premises built during 2023. The extension will be used as an office.

REQUIRED

(d) Place a tick (✓) in the correct box below to indicate whether each cost is capital expenditure or revenue expenditure.

	Capital expenditure	Revenue expenditure
Legal fees for obtaining permission to build the extension		
Building costs for the extension		
Insurance for the office		
Painting the office extension		
Office calendar for 2023		
Purchase of office equipment		
Installation of office equipment		
Stationery for office		

[4]

[Total: 20]

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3 Zahra and Panya are the shareholders and directors of Q Limited. The company directors of Q Limited have provided the following trial balance.

Q Limited
Trial Balance at 31 January 2024

	Debit	Credit
	$	$
Revenue		78 000
Purchases	38 200	
Rent and insurance	10 600	
Directors' salaries	19 000	
General expenses	3 420	
Advertising	5 400	
Dividends paid	2 500	
Fittings at cost	18 000	
Provision for depreciation of fittings		5 400
Inventory at 1 February 2023	2 950	
Cash at bank	915	
Trade payables		2 288
Ordinary share capital		13 000
Retained earnings		2 297
	100 985	100 985

Additional information

1 Inventory at 31 January 2024 was valued at $4720.

2 Depreciation on fittings is to be charged at 10% per annum using the straight-line method.

3 Payment for advertising, $75, is outstanding at 31 January 2024.

4 No dividends were outstanding at 31 January 2024.

REQUIRED

(a) Prepare the income statement for Q Limited for the year ended 31 January 2024.

Q Limited
Income statement for the year ended 31 January 2024

	$	$
....	....	....
....	....	....
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[6]

(b) Calculate the retained earnings at 31 January 2024.

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.... [3]

(c) Prepare the statement of financial position for Q Limited at 31 January 2024.

Q Limited
Statement of financial position at 31 January 2024

	$	$
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[6]

Zahra and Panya would like to expand the company and increase sales. In order to do this they are considering increasing the amount spent on advertising by 100%.

(d) Advise Zahra and Panya whether or not they should go ahead with the 100% increase in the amount spent on advertising. Justify your answer by providing **two** points in favour and **two** points against this increase.

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.... [5]

[Total: 20]

4 A company has a fleet of delivery vehicles. Information from their statement of financial position at 31 December 2022 shows that the vehicles originally cost $440 000 with accumulated depreciation of $270 000.

The business purchased two additional vehicles costing a total of $70 000 on 1 April 2023 on credit from L Autos.

On 30 November 2023, the business sold one of its vehicles. The vehicle had originally cost $28 000 with accumulated depreciation of $16 800. The vehicle was sold for $10 500 to a local garage who paid by bank transfer.

The business provides for depreciation using the straight-line method at a rate of 20% per annum.

A full year's depreciation is charged in the year of purchase.

No depreciation is charged in the year of disposal.

REQUIRED:

(a) Calculate the depreciation charge for the year ended 31 December 2023.

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.... [2]

(b) Prepare the company's ledger accounts for the delivery vehicles, provision for depreciation and disposal of delivery vehicles for the year ended 31 December 2023.

Balance the accounts and bring down the balances on 1 January 2024.

Delivery vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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....	....	....	....	....	....

Provision for depreciation of delivery vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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SUBTOPIC: 4.2 Accounting for depreciation and disposal of non-current assets

Disposal of delivery vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[10]

SUBTOPIC: 4.2 Accounting for depreciation and disposal of non-current assets

After talking to his accountant, the owner of the company is considering changing the method of depreciation for his delivery vehicles to the reducing balance method but maintaining the rate of depreciation at 20% per annum.

REQUIRED:

(c) Advise the owner of the company whether he should pursue this course of action. Justify your answer by providing **two** advantages and **two** disadvantages of changing the method of depreciation to the reducing balance method.

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(d) Complete the following table by placing a tick (✓) in the appropriate column to indicate the most suitable method of depreciation for each of the non-current assets.

Non-current asset	Straight-line	Revaluation	No depreciation
Land			
Fixtures & fittings			
Loose tools			

[3]

[Total: 20]

2 Mo is a farmer. He prepares his financial statements to 31 December each year. He delivers his farm produce to his customers in his delivery vehicle.

Mo charges depreciation on vehicles at 20% per annum using the reducing balance method. He charges a full year's depreciation in the year of purchase and no depreciation in the year of disposal.

On 31 March 2024, he sold his delivery vehicle for $2900 and received payment by cheque. He had purchased this delivery vehicle in June 2021 for $10 000.

REQUIRED

(a) Calculate the accumulated depreciation on the delivery vehicle which Mo sold on 31 March 2024.

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.... [3]

(b) Prepare the disposal account for the sale of the delivery vehicle on 31 March 2024.

Mo
Disposal of vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

Mo purchased a new delivery vehicle on 1 April 2024. The purchase price is made up as follows:

	$
Cost of vehicle	12 500
Petrol	60
Insurance (6 months)	475
Number (licence) plates	215
Total	13 250

REQUIRED

(c) Calculate the amount which Mo will record in his delivery vehicle account for this transaction on 1 April 2024.

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.... [2]

Mo is considering opening a shop to sell his farm produce. He hopes that customers will come to his farm and buy from the shop so that he will not need to deliver to them. He will use an existing farm building as his shop.

REQUIRED

(d) Advise Mo whether or not he should open the shop. Justify your answer by providing advantages and disadvantages of opening the shop.

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.... [5]

Mo owns his farmland and rents out one of his fields to a neighbouring farmer, Barry, for $80 a month. Barry pays Mo by bank transfer.

On 1 January 2024, Barry owed Mo two months' rent. During the year ended 31 December 2024, Barry paid the following amounts to Mo for rent:

	$
1 March	320
1 September	720

REQUIRED

(e) Prepare Mo's rental income account for the year ended 31 December 2024. Total the account and bring down the balance at 1 January 2025.

Mo
Rental income account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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....	....	....	....	....	....

[4]

Mo has noticed that his gross margin and profit margin are higher than those of Barry.

REQUIRED

(f) State **one** reason why:

(i) Mo's gross margin is higher than Barry's

....

.... [1]

(ii) Mo's expenses are lower than Barry's.

....

.... [1]

[Total: 20]

3 Jasmine owns a consulting business.

At 1 April 2024, Jasmine's ledger accounts included the following balances.

	$
Motor vehicles	16 000
Provision for depreciation of motor vehicles	7 000
Trade receivables	12 220
Provision for doubtful debts	366
Rent (prepaid)	900
Rates (unpaid)	270

During the year ended 31 March 2025, Jasmine's bank payments included the following amounts.

	$
Motor vehicles	18 000
Rent and rates	14 960

Additional Information

1 Depreciation is to be provided at 25% per annum using the reducing balance method. A full year's depreciation is to be charged on vehicles purchased during the year.

2 Trade receivables at 31 March 2025 were $11 800. An amount of $300 is still to be written off as irrecoverable.

3 The provision for doubtful debts is to be maintained at 3% of net trade receivables.

4 At 31 March 2025, prepaid rent was $925 and unpaid rates were $185.

REQUIRED

(a) Prepare the provision for depreciation of motor vehicles account for the year ended 31 March 2025. Balance the account and bring down the balance at 1 April 2025.

Jasmine
Provision for depreciation of motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

* 0000800000011 *

(b) Prepare the provision for doubtful debts account for the year ended 31 March 2025. Balance the account and bring down the balance at 1 April 2025.

Jasmine
Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

(c) Prepare the rent and rates account for the year ended 31 March 2025. Balance the account and bring down the balances at 1 April 2025.

Jasmine
Rent and rates account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[6]

SUBTOPIC: 4.2 Accounting for depreciation and disposal of non-current assets

At 31 March 2025, Jasmine had a bank overdraft of $2620.

REQUIRED

(d) Prepare the current assets section of Jasmine's statement of financial position at 31 March 2025.

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.... [3]

(e) State:

(i) how the principle of consistency is applied when charging depreciation.

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.... [1]

(ii) **one** way Jasmine may reduce the possibility of irrecoverable debts.

....

.... [1]

(iii) which accounting principle Jasmine is applying by making an adjustment for rent prepaid.

....

.... [1]

[Total: 20]

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3 Ahmed has a vehicle breakdown recovery business. He owns a recovery vehicle and has provided the following information about the vehicle:

- Purchase date: 1 October 2021
- Purchase price: $80 000 paid by bank transfer
- Estimated residual value: $30 000
- Estimated working life: 5 years

Ahmed provides a full year's depreciation in the year of purchase but charges **no** depreciation in the year of disposal. He depreciates his vehicles using the reducing balance method at 20% per annum.

His recovery vehicle is now 4 years old and is no longer reliable. Ahmed considered replacing his recovery vehicle on 31 August 2025.

Ahmed's financial year ends on 30 April.

REQUIRED

(a) Calculate the depreciation charge for **each** year of the recovery vehicle's working life, assuming Ahmed replaces the recovery vehicle on 31 August 2025. Show your workings.

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[4]

SUBTOPIC: 4.2 Accounting for depreciation and disposal of non-current assets

(b) State **one** advantage and **one** disadvantage of the reducing balance method of depreciation.

Advantage ....

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Disadvantage ....

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.... [2]

On 1 February 2025, a local dealer offered to buy the recovery vehicle from Ahmed for $35 000 cash.

REQUIRED

(c) Calculate the profit or loss on disposal if Ahmed had sold his recovery vehicle to the local dealer on 1 February 2025.

Show your workings, and state whether it would have been a 'profit' or 'loss'.

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.... [3]

(d) (i) Prepare Ahmed's motor vehicles account for the year ended 30 April 2025 if Ahmed had sold his recovery vehicle to the local dealer on 1 February 2025.

Ahmed
Motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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....	....	....	....	....	....

[2]

(ii) Prepare Ahmed's disposal of motor vehicles account for the year ended 30 April 2025 if Ahmed had sold his recovery vehicle to the local dealer on 1 February 2025.

Ahmed
Disposal of motor vehicles account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[4]

Ahmed sold his recovery vehicle. Since the sale, he has been hiring a recovery vehicle capable of recovering larger vehicles and is now considering buying a similar vehicle.

He would finance the purchase of this new vehicle using the money received from selling his old recovery vehicle, and the balance will come from a bank loan repayable in 5 years. Delivery of the new vehicle is estimated to be in 6 months.

REQUIRED

(e) Advise Ahmed whether he should buy this new recovery vehicle. Justify your answer by providing advantages and disadvantages of buying the new recovery vehicle.

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.... [5]

[Total: 20]

* 0000800000013 * DFD

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4.3 Other payables and other receivables

Included questions	0

4.4 Irrecoverable debts and provision for doubtful deb

Included questions	4

2 Tej is a trader who sells goods on credit. His year end is 28 February.
Tej provided the following information.

		$
At 1 March 2020		
Trade receivables		6250
Other receivables (rent prepaid)		300
For the year ended 28 February 2021		
Rent charge for the year		3900
Cheque payments for rent	30 June 2020	1950
	30 November 2020	2100
At 28 February 2021		
Trade receivables		7000

The provision for doubtful debts was 4% of trade receivables at 1 March 2020 and 6% of trade receivables at 28 February 2021.

REQUIRED

(a) Prepare the rent payable account for the year ended 28 February 2021. Balance the account and bring down the balance on 1 March 2021.

Tej
Rent payable account

Date	Details	$	Date	Details	$
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....	....	....	....	....	....
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[6]

(b) Prepare the provision for doubtful debts account for the year ended 28 February 2021. Balance the account and bring down the balance on 1 March 2021.

Tej
Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
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[4]

(c) Name the accounting principle applied when the income statement is adjusted for rent prepaid.

.... [1]

(d) **(i)** Explain how the realisation principle is applied to the recording of Tej's credit sales.

....

....

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.... [2]

(ii) Explain how the prudence principle is applied to the maintenance of Tej's provision for doubtful debts.

....

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.... [2]

Tej sells to a small number of customers. He has good working relationships with them and they sometimes recommend him to potential customers.

Tej is concerned that his customers are taking a long time to pay him. He is considering charging interest on overdue accounts.

REQUIRED

(e) Advise Tej whether or not he should charge interest on overdue accounts. Justify your answer.

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.... [5]

[Total: 20]

5 NT started in business on 1 September 2020. All sales are on credit and payment is required from customers within 25 days.

On 5 May 2021, LW a trade receivable was declared bankrupt and a debt of $600 was written off as irrecoverable at that date.

REQUIRED

(a) Prepare a journal entry to write off the amount owed by LW. A narrative **is** required.

NT
General Journal

Date	Details	Debit $	Credit $
....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....

[3]

In addition to the irrecoverable debt of LW, other irrecoverable debts of $4100 were written off during the year ended 31 August 2021. Trade receivables at 31 August 2021 were $91 500 and NT decided to create a provision for doubtful debts of 5% of trade receivables.

REQUIRED

(b) Prepare an extract from the expenses section of NT's income statement for the year ended 31 August 2021.

NT
Extract from income statement for the year ended 31 August 2021

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.... [2]

(c) Prepare an extract from the assets section of NT's statement of financial position at 31 August 2021.

NT
Extract from statement of financial position at 31 August 2021

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.... [2]

During the financial year ended 31 August 2022, PB a trade receivable who owed $7000 had been declared bankrupt. On 17 July 2022, NT received payment of $2500 by cheque in final settlement of the debt. The remainder of the debt was written off as irrecoverable.

Other irrecoverable debts of $8400 were written off at 31 August 2022. The remaining trade receivables at 31 August 2022 were $110 000 and NT decided to maintain the provision for doubtful debts at 5% of trade receivables.

REQUIRED

(d) Prepare the following ledger accounts for the year ended 31 August 2022. Bring down the balance on 1 September 2022, where appropriate.

NT ledger accounts

PB account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Irrecoverable debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
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[8]

NT is concerned at the increase in irrecoverable debts during the second year of business. To reduce irrecoverable debts, he is planning to introduce one of the two following options.

Option 1: To charge interest on all debts not paid within his standard terms of payment of 25 days.

Option 2: To stop supplies to all customers who do not pay within his standard terms of payment of 25 days.

(e) Advise NT on which option he should introduce. Justify your answer.

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[Total: 20]

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4 PG a trader sells electrical components. She has provided the following information for the year ended 31 July 2022.

	$
Sales journal for the year ended 31 July 2022	360 000
Sales returns journal for the year ended 31 July 2022	13 300
Trade receivables at 1 August 2021	28 500
Provision for doubtful debts at 1 August 2021	1 140

Cash book extract of totals for the year ended 31 July 2022

	Discount Allowed	Cash	Bank		Bank
	$	$	$		$
Trade receivables	6 500		335 100	Trade receivables (dishonoured cheques)	4 000
Sales		17 000			

Additional information

1 $900 of trade receivables were written off as irrecoverable debts on 31 July 2022. There were no other irrecoverable debts during the year.

2 The provision for doubtful debts is to be set at 4% of trade receivables at 31 July 2022.

REQUIRED

(a) Prepare the following ledger accounts for the year ended 31 July 2022. Where appropriate show the balance brought down on 1 August 2022.

PG
Sales account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Sales returns account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Trade receivables account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
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....	....	....	....	....	....
....	....	....	....	....	....
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....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Irrecoverable debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
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[13]

(b) Prepare a relevant extract from PG's statement of financial position at 31 July 2022.

PG
Extract from statement of financial position at 31 July 2022

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.... [2]

(c) List **three** ways in which PG could reduce the possibility of irrecoverable debts.

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.... [3]

(d) State **two** factors PG should consider when setting the provision for doubtful debts.

....

....

.... [2]

[Total: 20]

3 Logan is a trader who sells goods on credit. His year end is 30 September. Logan has provided the following information.

	$
At 1 October 2022	
Inventory	8400
Trade receivables	7500
Other receivables (rent prepaid)	820
For the year ended 30 September 2023	
Rent charge for the year	4940
Bank payments for rent 1 December 2022	2460
1 June 2023	2490
At 30 September 2023	
Inventory	8675
Trade receivables	8700
Other receivables	?
Irrecoverable debts to be written off	325

The provision for doubtful debts is to be maintained at 4% of trade receivables.

REQUIRED

(a) Prepare the inventory account for the year ended 30 September 2023.

Logan
Inventory account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[3]

(b) Prepare the provision for doubtful debts account for the year ended 30 September 2023. Balance the account at 30 September 2023 and bring down the balance at 1 October 2023.

Logan
Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

(c) Prepare the rent payable account for the year ended 30 September 2023. Balance the account at 30 September 2023 and bring down the balance at 1 October 2023.

Logan
Rent payable account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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[6]

(d) State how:

(i) the prudence principle is applied to the valuation of Logan's inventory

....

.... [1]

(ii) the matching principle is applied when the rent payable account is prepared

....

.... [1]

Logan is considering buying business premises instead of renting. He would request a long-term bank loan to finance the purchase of the premises.

REQUIRED

(e) Advise Logan whether he should purchase business premises using a long-term bank loan. Justify your answer with advantages and disadvantages of purchasing business premises using a long-term bank loan.

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.... [5]

[Total: 20]

4.5 Valuation of inventory

Lottie sells 3 different types of goods. Her inventory at 30 April 2024 is as follows.

Type	Number of units	Purchase price per unit $	Net realisable value per unit $	Carriage inwards per unit $
A	60	14	20	1
B	85	17	24	0
C	30	21	22	2

REQUIRED

(d) Calculate the value of Lottie's inventory at 30 April 2024.

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.... [4]

Lottie pays $360 per annum for insurance. On 1 May 2023, insurance of $60 was prepaid. On 1 August Lottie paid $360 by bank transfer for the year 1 July 2023 to 30 June 2024.

REQUIRED

(e) Prepare the insurance account for the year ended 30 April 2024. Bring down the balance at 1 May 2024.

Lottie
Insurance account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[4]

[Total: 20]

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2 Toyah owns a factory which makes dolls' houses. Her financial year end is 31 January.

At 31 January 2024, her ledger accounts included the following balances.

	$
Inventory at 1 February 2023	
Raw materials	12 400
Work in progress	16 970
Finished goods	14 825
Revenue	390 100
Purchases of raw materials	143 000
Wages	
Factory operatives	51 000
Factory supervisor	19 000
Sales staff	30 000
Factory electricity	16 000
Rates and insurance	16 200
General factory expenses	6 155
Factory machinery – at cost	120 000
Factory machinery – provision for depreciation	52 500

Additional information

1. Inventory at 31 January 2024

Raw material	11 205
Work in progress	17 682
Finished goods	13 480

2. Rates and insurance are to be apportioned 2/3 to the factory and 1/3 to the office.

3. At 31 January 2024, general factory expenses of $235 were unpaid.

4. Factory machinery is depreciated at 25% per annum using the reducing balance method.

* 0019655426207 *

REQUIRED

(a) Prepare Toyah's manufacturing account for the year ended 31 January 2024.

Toyah
Manufacturing Account for the year ended 31 January 2024

	$	$
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[9]

(b) Prepare Toyah's income statement (trading section) for the year ended 31 January 2024.

Toyah
Income statement (trading section) for the year ended 31 January 2024

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[5]

The factory produced 6936 dolls' houses during the year ended 31 January 2024.

REQUIRED

(c) Calculate the manufacturing cost of each dolls' house. Round up your answer to the nearest dollar.

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.... [1]

Idir, a competitor of Toyah's, has decided to cease trading. He has offered to sell his inventory of finished goods to Toyah at a discounted price in return for immediate payment in cash. The total price for these items is $9600. Toyah has $1415 cash at bank.

REQUIRED

(d) Advise Toyah whether or not she should buy Idir's inventory. Justify your answer by providing **two** points for and **two** points against buying this inventory.

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.... [5]

[Total: 20]